FALLEN EMPIRES

The Lip Bar: the Shark Tank deal sheet

All five Sharks passed on The Lip Bar in 2015. Here is what was on the table, and what happened next. Every figure below comes from a named source.

The pitch

- **Show:** Shark Tank (ABC), season 6, episode 18, aired in 2015.
- **Founders on stage:** Melissa Butler (founder and CEO) and Rosco Spears (creative director).
- **Product:** vegan lipstick, sold online. Butler started the brand in 2012, making lipstick at home in Brooklyn.
- **The ask:** $125,000 for 20% of the company.
- **Implied valuation:** $125,000 ÷ 20% = **$625,000**.

What the Sharks said

- Robert Herjavec was the first one out.
- Kevin O'Leary: "You only have so many minutes on Earth, don't waste them trying to sell lipstick."
- Daymond John: "You are never going to create anything new in this world. It's lipstick."
- **Result: no deal.** All five Sharks passed.

After the Tank

1. **2016:** The Lip Bar appears on Target's website.
2. **February 18, 2018:** launch in 44 Target stores. By July 2018: 142 stores (CNBC). Butler reached a Target buyer through LinkedIn.
3. **September 2022:** the parent company raises an oversubscribed $6.7 million round.
4. **2023:** Target space grows from 3 shelves to 24 (+700%). CVS adds the brand in 3,300 stores.

5. **October 2025:** about 2,000 stores across Target, CVS and Walmart, plus Amazon. Target sales are down about 30-40%, but the company expects total sales up about 40%, helped by its own website (+150%).

3 things this case shows

- **A "no" on TV is not a "no" from the market.** The Lip Bar kept selling online after the show.
- **Go straight to the buyer.** Butler found a retail buyer on LinkedIn instead of waiting for an investor.
- **Start small in retail, then grow the shelf.** 44 stores in 2018, then more doors and more shelf space each year.

2 traps to watch

- **One big retailer can hurt you.** When Target sales fell 30-40% in 2025, the brand needed other channels.
- **Don't confuse store count with sales.** The company does not publish its revenue: "2,000 stores" is a distribution figure, not a valuation.

Glossary

- **Equity:** a share of ownership. 20% of The Lip Bar = one fifth of the company.
- **Valuation:** what the company is worth, implied by the ask. $125,000 for 20% means $625,000.
- **Doors:** retail stores carrying a product. 44 doors in February 2018.
- **Direct-to-consumer (DTC):** selling on your own website. The Lip Bar's site was up 150% in 2025.

Sources

- CNBC Make It, July 30, 2018
- Black Enterprise, Feb 21, 2018
- Looper: What happened to The Lip Bar after Shark Tank

- The Lip Bar press release, Feb 10, 2023
- Glossy, Sept 6, 2023
- Beauty Independent, Oct 6, 2025

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